



Shopify, Inc. (NYSE: SHOP)

Investment Presentation

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March 26, 2026

We recommend a long position in **Shopify** (SHOP) with a 27.83% upside based on a \$151.37 price target with a timeframe of 12-24 months.

Company Overview



Shopify Inc. (SHOP) is a commerce technology company founded in 2006 in Ottawa, Canada. Shopify is well-known around the world for providing businesses with the tools needed to build, manage, and scale online and offline stores through its integrated commerce platform. With a focus on empowering entrepreneurs and simplifying complex back-end operations, Shopify has evolved from a small website-building solution into a leading global commerce infrastructure provider. Historically popular among small and medium-sized businesses and direct-to-consumer brands, Shopify has increasingly attracted larger enterprise merchants, which has contributed to its continued growth and market expansion. With its global headquarters in Ottawa, Canada, and offices across North America, Europe, and Asia-Pacific, Shopify serves merchants in over 175 countries across three primary geographic regions: the Americas, EMEA (Europe, the Middle East, and Africa), and APAC (Asia-Pacific). Shopify generates revenue through subscription plans and merchant solutions, including Shopify Payments, Point-of-Sale (POS) systems, Shopify Capital, cross-border tools, shipping services, and Shopify Plus for enterprise clients. The company monetizes Gross Merchandise Volume (GMV) processed through its ecosystem, allowing revenue to scale alongside global e-commerce growth. As online retail continues to expand globally and AI-driven commerce emerges, Shopify is positioning itself as a foundational infrastructure layer for digital and agentic commerce.



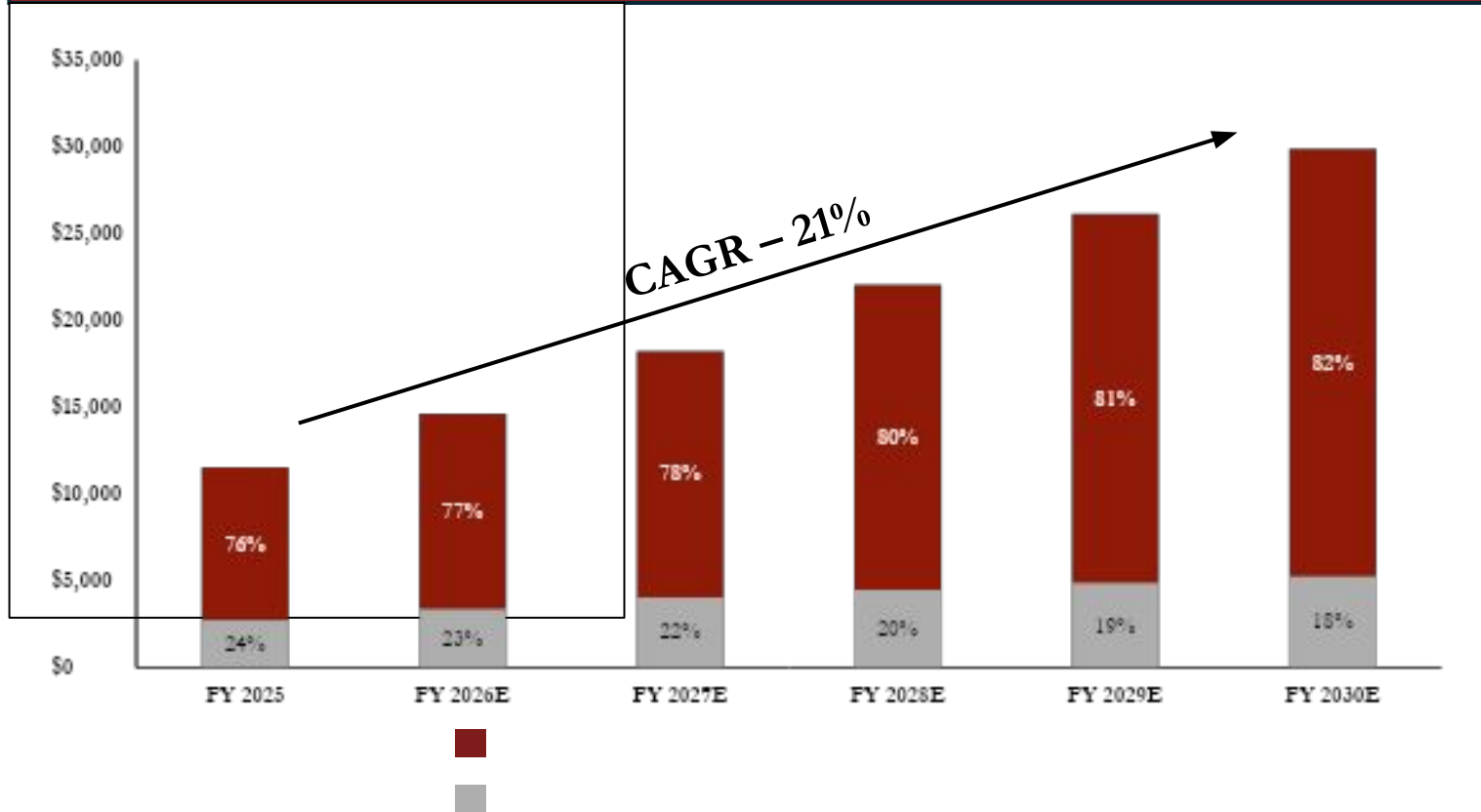
Stock Price	\$118.42
Market Cap	\$169,686
LTM Revenue	\$11,556
EBITDA	\$2,009
Diluted EPS	1.52
Shares Outstanding	1,226

**All in (\$mm) except per diluted EPS and Shares Outstanding*

Revenue Breakdown



Segment Build Forecast



Key Data (2025)

Merchant Solutions: \$8.8 Billion

- ❑ Payment Processing (GPV: 64% of total GMV for 2025)
- ❑ 2025 GMV ≈ \$380 Billion

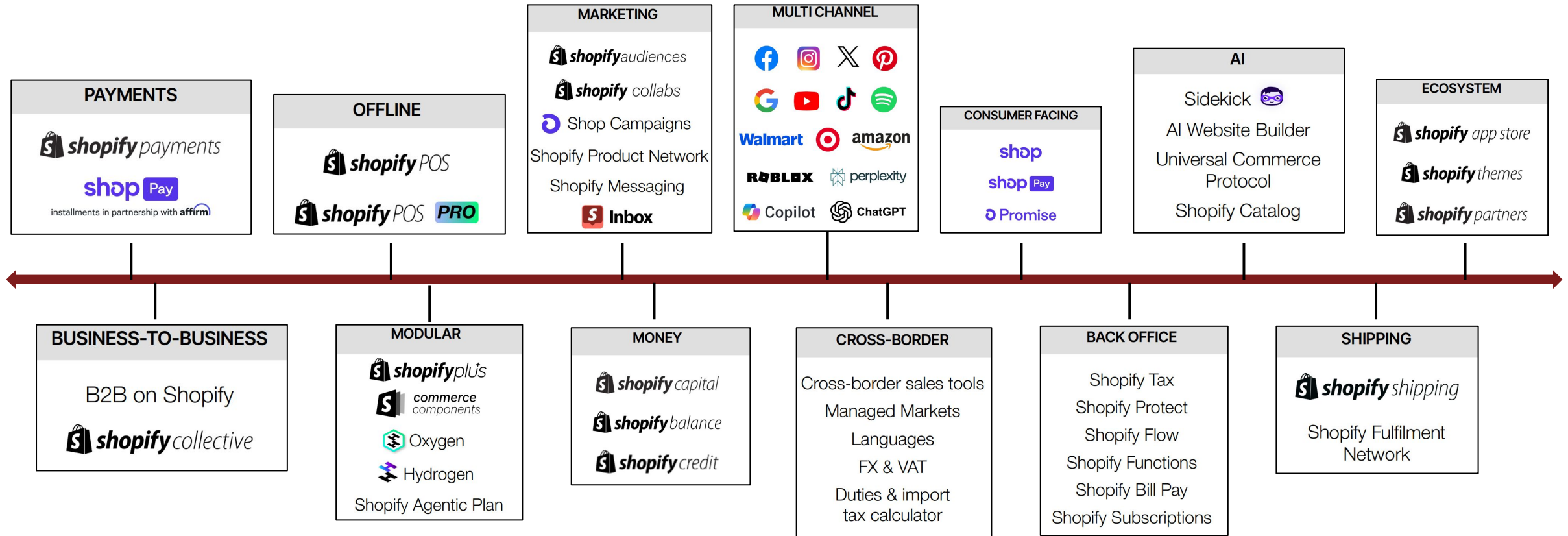
Subscription Solutions: \$2.7 Billion

- ❑ Fixed platform fees
 - ❑ \$39/mo - \$2900+/mo
- ❑ Merchants choose from 4 pricing plans

Estimated \$24.6 Billion → 2030

Estimated \$5.3 Billion → 2030

Merchant Solutions Ecosystem

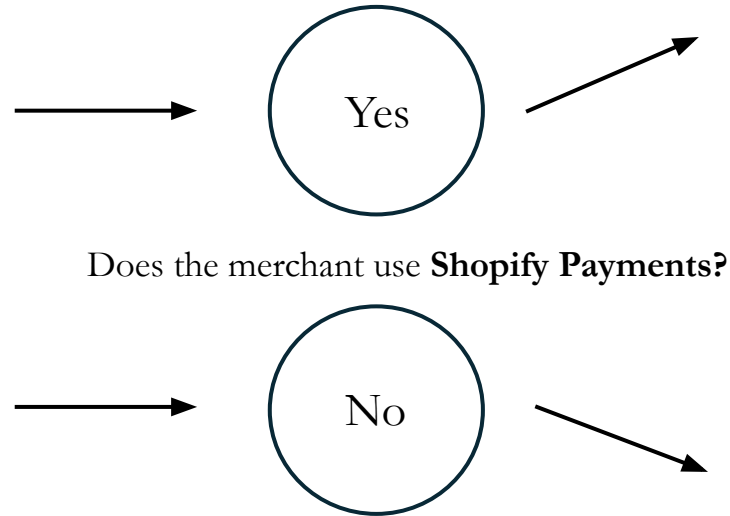
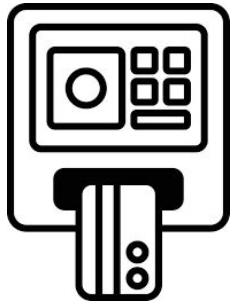


Shopify powers the entire merchant journey, with Payments at the core contributing ~75% of Merchant Solutions revenue

Revenue Capture from GMV



Merchant GMV



Shopify Take Rate (Online)	2.5 – 2.9% + \$.30
Shopify Take Rate (In-Person)	2.4 – 2.6% + \$.10
Shopify Transaction Fee	0%

Third Party Take Rate Average (Online)	2.9 – 3.5% + \$.30
Third Party Take Rate Average (In-Person)	2.4 – 2.7% + \$.10
Shopify Transaction Fee	.2 - 2%

Shopify Payments adoption drives monetization — as more merchants use Shopify’s execution layer, more GMV is captured as revenue.

Subscription Pricing Plans



Increasing GMV ; Increasing Complexity ; Increasing Monetization

Basic - \$39 USD/mo	Grow - \$105 USD/mo	Advanced - \$399 USD/mo	Plus - \$2300+ /mo
Full Shopify Features	Full Shopify Features	Full Shopify Features	Full Shopify Features
Inventory Locations - 10	Inventory Locations - 10	Inventory Locations - 10	Inventory Locations - 200
Additional Staff Accounts - 0	Additional Staff Accounts - 5	Additional Staff Accounts - 15	Additional Staff Accounts – Unlimited
24/7 Support – Live Chat	24/7 Support – Live Chat	24/7 Support – Enhanced Live Chat	24/7 Support – Priority Support
POS Pro - \$89/mo per location	POS Pro - \$89/mo per location	POS Pro - \$89/mo per location	POS Pro – 20 locations included
Online Card Rates – 2.9% + \$.30	Online Card Rates – 2.7% + \$.30	Online Card Rates – 2.5% + \$.30	Online Card Rates – Most Competitive Rates
Online Premium Card Rates – 3.5% + \$.30	Online Premium Card Rates – 3.3% + \$.30	Online Premium Card Rates – 3.1% + \$.30	Online Premium Card Rates – Most Competitive Rates
USDC Rates – 2.9% + \$.30	USDC Rates – 2.7% + \$.30	USDC Rates – 2.5% + \$.30	USDC Rates – Most Competitive Rates
Third Party Transaction Fee – 2%	Third Party Transaction Fee – 1%	Third Party Transaction Fee – 0.6%	Third Party Transaction Fee – 0.2%

Users receive 25% discount if subscription is paid in full year increments (except for the plus plan).

Overview of Market & Trends



Overview of Market

1

E-commerce now represents about 20% of global retail sales, growing structurally as digital adoption expands worldwide.

2

China, US, and Western Europe account for 80.5% of global sales
Shopify operates in 175+ countries across Americas, EMEA, and APAC.

3

E-commerce infrastructure market is now shifting toward transaction-based monetization (GMV), such as payments, lending, cross-border tools, and POS.

☐ AI and automation

- ☐ Shopify's Universal Commerce Protocol (UCP) lets agents access inventory, calculate taxes/shipping, authenticate buyers, and complete checkout immediately
- ☐ Shopify controls merchant layer, capturing GMV and payments revenue as agentic commerce scales

☐ Integrated financial infrastructure

- ☐ creates high switching costs
- ☐ Payments, capital, fulfillment, cross-border tools, and POS are bundled
- ☐ As merchants grow, they adopt more services and deepen their dependency on Shopify
- ☐ Higher rates per merchant and reinforce retention

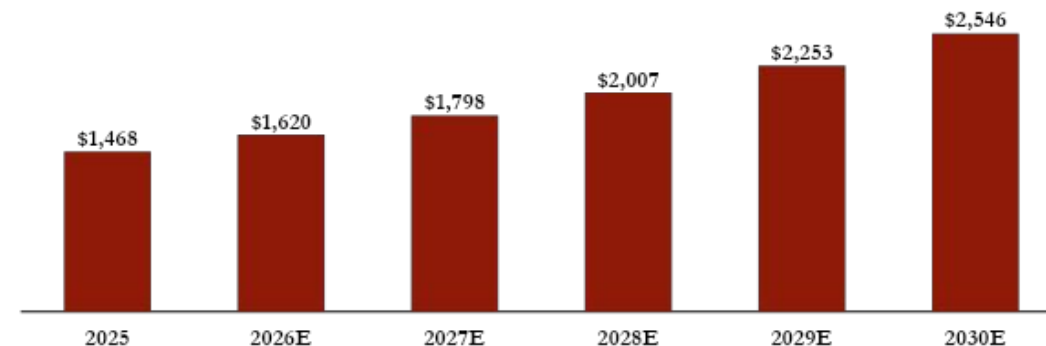
☐ Ecosystem creates switching costs

- ☐ comparable to other enterprise commerce platforms, while providing more stable revenue
- ☐ Shopify is moving up to compete with SAP and ADBE
- ☐ Enterprise clients provide strong revenue streams and strengthen network effects

Global E-Commerce Revenue
(in trillions)



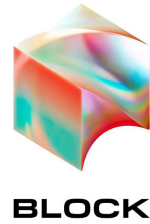
United States E-Commerce Revenue
(in billions)



Competitive Landscape



Website Builders | Direct Competitors



ECommerce & Infrastructure | SaaS



Shopify vs. Top Competitors



Comparable Companies Analysis



Ticker	Name	Price	EV	Market Cap	LTM Revenue	Revenue 2026E	Revenue 2027E	EV/Revenue 2026E	Net Debt	EV/EBITDA	P/E
DIRECT COMPETITORS											
CMRC	Commerce.com, Inc.	2.97	266.09	241.67	342.35	352.8	369.75	0.75	24.42	34.26	11.42
WIX	Wix	92	4890	4960	1990	2284.36	2586.57	2.14	-68.08	34.26	27.68
XYZ	Block, Inc. (Square)	65.54	4020	3930	2419	26420.66	28906.56	0.15	931.22	17.28	29.81
Mean		53.50	3058.70	3043.89	1583.78	9685.94	10620.96	1.02	295.85	28.60	22.97
Median		65.54	4020.00	3930.00	1990.00	2284.36	2586.57	0.75	24.42	34.26	27.68
Standard Deviation		45.72	2457.28	2480.84	1096.30	14524.84	15874.54	1.02	552.18	9.80	10.06
SOFTWARE-AS-A-SERVICE (SaaS)											
ADBE	Adobe	282.44	112790	112740	23770	26038	28431.2	4.33	53	13.89	16.54
AMZN	Amazon	213.49	2350000	2300000	716920	805983	899867	2.92	46910	15.16	30.66
CRM	Salesforce	198.79	188050	179900	37895	41525	46111	4.53	8150	15.43	22.03
SAP	SAP in Data Processing	195.83	238552	240578	36800	40104	44847	5.95	-2600	20.6	22.77
Mean		222.64	722348.00	708304.50	203846.25	228412.50	254814.05	4.43	13128.25	16.27	23.00
Median		206.14	213301.00	210239.00	37347.50	40814.50	45479.00	4.43	4101.50	15.30	22.40
Standard Deviation		40.61	1086330.97	1062414.08	342109.34	385110.44	430110.69	1.24	22980.64	2.96	5.81
SHOP CURRENT		118.42	145370	150685	11556	14526	18249	10.01	-5590	81.68x	93.36x



Powering the Agentic Commerce Layer

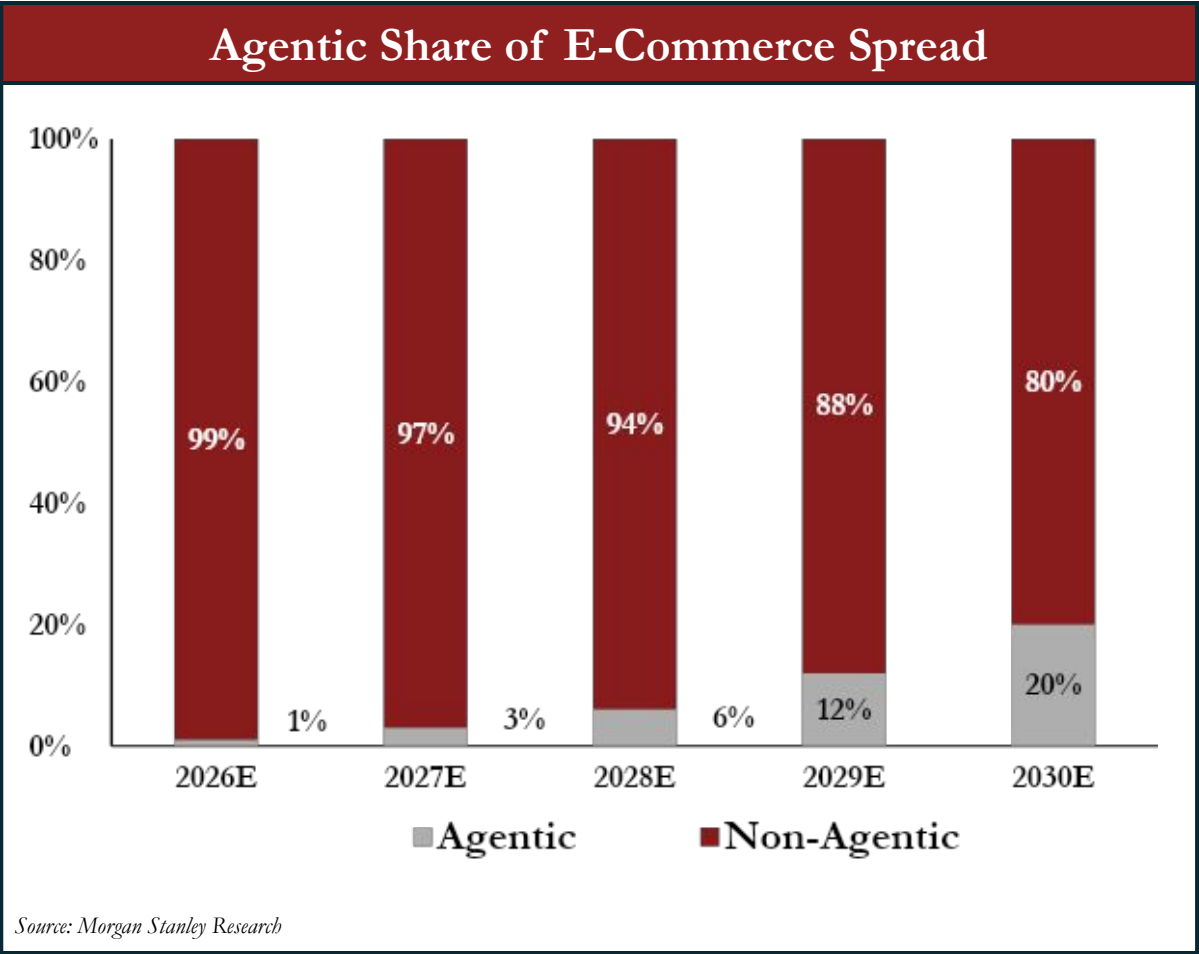


Scaling Upmarket to Capture Enterprise GMV



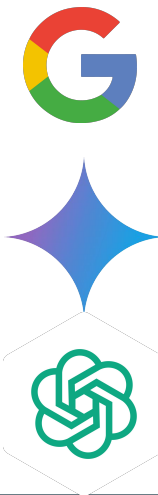
From Traditional SaaS to Complete Financial Infrastructure

Powering the Agentic Commerce Layer



HOW AGENTIC COMMERCE WORKS

- 1 **AI discovers products within customer constraints**
□ Ex. price, brand, preferences
- 2 **AI executes transaction via Shopify's UCP**
□ Across payments, fulfillment, & shipping
- 3 **Continuous learning and optimization**
□ Merchants benefit from better insights, sales, and adoption of additional Shopify services



Agentic Market Size (US)

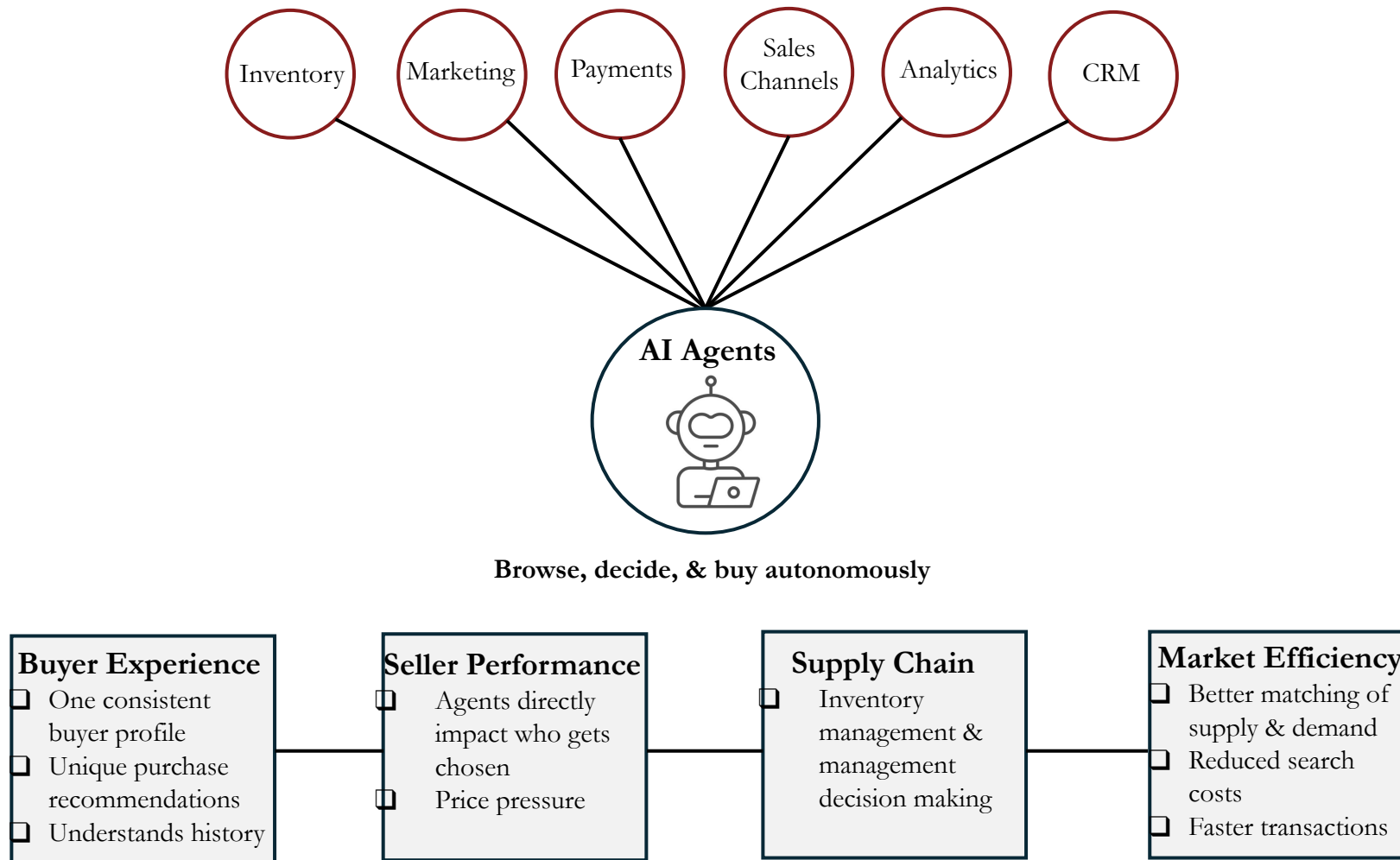
Bull:	15-20% - \$385 Billion
Base:	12.5% - \$275 Billion
Bear:	10% - \$200 Billion

GMV Capture Opportunity

Bull:	15% - +\$57.75 Billion
Base:	10% - +\$38.5 Billion
Bear:	5% - +19.25 Billion

Assumption ≈ \$2T U.S. e-commerce market approaching 2030

Agentic Commence: Universal Commerce Protocol (UCP)



Whoever wins the AI race still needs to sell products – all Shopify stores are agentic-ready.

Competitive Moat: Why is Shopify appealing?

SMBs vs. Enterprises

Stable Revenue Streams

- ☐ Because SMBs can often fail, this provides Shopify with a competitive edge in the E-commerce market.
- ☐ Shopify will capture a larger share of the market and still retain its existing customer base.
- ☐ With their Shopify Plus subscription, GMV-based scaled fees scale with merchant success.

Ecosystem

- ☐ Shopify Payments, Capital, and Analytics allow the merchant experience to be a lot more freeing.
- ☐ Shopify scales continuously from SMB to enterprise on the same product = long-term trust and incentives.
- ☐ Switching costs: the more products a merchant adopts, the harder it becomes to leave; All integrations would have to be removed completely.

Shopify Success Stories



When they crashed on Black Friday, they lost about \$100,000 in sales = re-platforming with Shopify to start scaling on demand.



Their website crashed twice because they also could not scale on demand. After moving to Shopify, they resolved scaling issues and saved \$100,000 in platform costs.



During the pandemic, the brand wanted a solution to deliver its products to those who couldn't afford to go to retail chains. They chose to build their new site on Shopify, within just one week.

Fun Fact: Gym shark and Bombas' previous websites were built on Magento (Adobe).

Companies Added to the Network in Q4 2025



SONOS

SPANX[®]
BY SARA BLAKELY[®]



TOPSHOP



STEVE
MADDEN

Glossier.



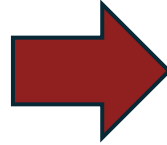
benetton



From Traditional SaaS to Complete Financial Infrastructure

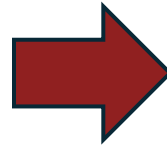


Why is Shopify moving away from traditional SaaS?



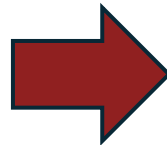
Originally, Shopify was monetizing through their fixed subscription fees = predictable and capped revenue potential.

Why is the financial infrastructure beneficial?



With their new infrastructure layer, Shopify's revenue now scales directly with the volume of commerce flowing through its platform.

Merchant Services & the Impact on Revenue



All its merchant services (Shopify Payments, Capital, POS, cross-border tools, etc.) each capture their own take rate on transactions. As merchants grow their GMV, more of these services become available and help increase revenue and merchant independence.

Shopify's upside is now tied to global E-commerce expansion, and merchant success & Shopify monetization grows together.

Shopify & Blockchain Adoption



By embedding blockchain and crypto-native capabilities today, Shopify is positioning itself as the core infrastructure for autonomous, tokenized, and global commerce.

NFT Infrastructure is Already Built

- ☐ Built in tools for minting, selling, and managing NFT's directly in storefronts
- ☐ NFTs plug into payments, checkout, inventory, and customer data
- ☐ Enables token-gating, loyalty, and agentic AI experiences today

INFINITE OBJECTS



BALMAIN
PARIS

Doodles

coinbase **stripe**

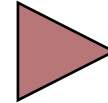
- ☐ Key partnerships allow USDC stablecoin payments on the base blockchain
- ☐ Payments integrate directly onto Shopify Payments – no third-party infrastructure needed
- ☐ Smart contracts are used for payment authorization, capture, refunds, and tax handling
- ☐ Merchants can receive funds in local currency or have USDC directly transferred to their wallets
- ☐ US merchants will receive a rebate up to .5% on USDC orders

Risks and Mitigants



01

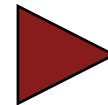
Downward pressure on take rates



We believe this risk is mitigated by Shopify's third-party transaction fee + the competitors take rate which averages above's Shopify's take rate on their payment rail.

02

Investors perceive Shopify as the backend processor, as merchant's eave for AI-native platforms



We believe merchant churn to AI-native platforms will remain limited because of high switching costs and deeply embedded app ecosystem. AI lacks the infrastructure to act as the settlement layer, while developers can stack further AI on its platform.

03

Large churn on startups & SMBs due to macro factors



Shopify merchants are extremely diversified across all industries and geographical locations. Macro headwinds in one or multiple areas is hedged by their wide consumer base as retail spending recovers

Appendix

DCF Model



All numbers deployed in \$mm

Assumptions	
Tax Rate	18.50%
Discount Rate	19.20%
Perpetual Growth Rate	2.50%
EV/EBITDA Multiple	81.68x
Transaction Date	4/1/2026
Fiscal Year End	12/31/2026
Current Price	\$118.42
Diluted Shares Outstanding	1225.90
Debt & Other LT Liabilities	(\$5,590.00)
Cash & Investments	\$5,778.00
Preferred Equity	\$0.00

Intrinsic Value	
Enterprise Value	\$174,201.67
Plus: Cash	\$5,778.00
Less: Debt	(\$5,590.00)
Less: Preferred Equity	\$0.00
Equity Value	\$185,569.67
Equity Value per Share	\$151.37

Market Value	
Plus: Debt	(\$5,590.00)
Plus: Preferred Equity	\$0.00
Less: Cash	\$5,778.00
Enterprise Value	\$133,803.08
Equity Value per Share	\$118.42

Discounted Cash Flow	Entry	2026	2027	2028	2029	2030	Exit
Date	4/1/2026	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030	12/31/2030
Year Fraction		0.75	1.00	1.00	1.00	1.00	
EBIT		\$2,894.23	\$3,780.04	\$4,632.98	\$5,320.20	\$5,747.68	
Less: Taxes		\$538.02	\$701.90	\$859.69	\$986.83	\$1,065.91	
Plus: D&A		\$39.79	\$42.55	\$46.21	\$53.88	\$62.01	
EBITDA		\$2,934.02	\$3,822.59	\$4,679.19	\$5,374.08	\$5,809.69	
Less: CapEx		\$35.20	\$43.30	\$48.90	\$53.20	\$62.70	
Plus: NWC Investment		\$6,148.77	\$6,705.41	\$6,930.71	\$8,048.47	\$8,874.66	
Adjusted Free Cash Flow		\$8,509.56	\$9,782.80	\$10,701.31	\$12,382.53	\$13,555.74	\$278,868.59
Transaction Cash Flow		\$6,382.17	\$9,782.80	\$10,701.31	\$12,382.53	\$13,555.74	\$278,868.59

Terminal Value	
Perpetual Growth	\$83,201.43
Multiple Valuation	\$474,535.76
Average	\$278,868.59

Upside (Downside)	
Current Share Price	\$118.42
Intrinsic Value	\$151.37
Implied Upside %	27.83%

WACC Calculations	
Cost of Equity	19.20%
Risk Free Rate	4.19%
Equity Risk Premium	4.60%
Beta	2.84
Cost of Debt	3.40%
Weight of Equity	104.00%
Weight of Debt	-4.00%
1- Tax Rate	81.50%
WACC	19.94%

WACC

WACC

EV/EBITDA Multiple						
\$151.37	80.68x	81.18x	81.68x	82.18x	82.68x	
20.44%	\$143.97	\$144.53	\$145.09	\$145.65	\$146.22	
20.19%	\$145.18	\$145.75	\$146.32	\$146.88	\$147.45	
19.94%	\$146.42	\$146.99	\$147.56	\$148.13	\$148.71	
19.69%	\$147.68	\$148.25	\$148.83	\$149.41	\$149.98	
19.44%	\$148.95	\$149.54	\$150.12	\$150.70	\$151.28	

EV/EBITDA Multiple						
27.83%	80.68x	81.18x	81.68x	82.18x	82.68x	
20.44%	21.57%	22.05%	22.52%	23.00%	23.47%	
20.19%	22.60%	23.08%	23.56%	24.04%	24.52%	
19.94%	23.64%	24.13%	24.61%	25.09%	25.58%	
19.69%	24.70%	25.19%	25.68%	26.17%	26.65%	
19.44%	25.78%	26.28%	26.77%	27.26%	27.75%	

MBF vs Consensus



MBF vs. Consensus(in \$mm)	FY2026	FY2027	FY2028	FY2029	FY2030
MBF Revenue	14,641	18,249	22,065	26,132	29,913
Consensus Revenue	14,669	18,150	22,647	27,812	33,770
% difference	0.19%	0.54%	2.61%	6.23%	12.11%
MBF Cost of Revenue	7,328	9,248	11,866	14,386	17,065
Consensus Cost of Revenue	7,633	9,349	11,678	14,536	17,550
% difference	4.08%	1.08%	1.60%	1.04%	2.80%
MBF Operating Expense	4,419	5,220	5,565	6,426	7,100
Consensus Operating Expense	4,849.0	5,670.0	6,457.0	7,425.0	8,460
% difference	9.28%	8.26%	14.83%	14.42%	17.48%
MBF CapEx	35.2	43.3	48.9	53.2	62.7
Consensus CapEx	34.5	44.0	47.1	52.2	65
% difference	2.01%	1.60%	3.75%	1.90%	3.60%

Management



Jeff Hoffmeister

CFO

- 22 years with Morgan Stanley
- Financial Strategy, Capital Allocation



Tobias Lütke

CEO

- Works at Coinbase
 - Prior CTO
- Company growth, innovation



Mikhail Parakhin

CTO

- Experience with Microsoft
- AI leader shaping commerce's future

**Thanks for
listening, any
questions?**